



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax;
- (e) Personal assessment; and
- (f) Stamp duty.

The questions covered non-computational questions and computational questions. Candidates' overall performance in this section was not good.

Specific Comments

The wide range of topics in the syllabus may be a source of difficulty for candidates. Candidates were especially weak in the following areas:

- (a) Tax administration – error and omission claim;
- (b) Property tax – treatment of irrecoverable rent;
- (c) Profits tax – assessable profits of non-residents;
- (d) Profits tax – tax treatment on environment-friendly vehicle; and
- (e) Salaries tax – voluntary health insurance scheme deductions.

Candidates' overall performance in this section was below expectation. They are advised that multiple choice questions could cover any part of the syllabus. They should prepare for the topics in the syllabus thoroughly. They should also read the questions carefully to avoid making oversights and mistakes.



(II) Section B – Written Questions

General Comments

This section consisted of six questions and candidates were required to answer all of them. The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was below expectation. Although the questions were commonly examined in the past, candidates' performance has much room for improvement. While candidates were weak at essay-type questions as in the past, some candidates did not even attempt to answer the questions. Candidates are suggested to improve their analytical and writing skills, otherwise poor performance in this part of the assessment will greatly affect their overall performance.

Specific Comments

Question 1(a) – 4 Marks

This question required candidates to compute the amount of depreciation allowances of plant and machinery.

This was a simple question and candidates possessed the pooling system concept for the depreciation allowances of plant and machinery. However, most candidates wrongly included the cost of the prescribed fixed asset in the calculation of depreciation allowance under 30% pool. Also, they failed to restrict the disposal proceeds of the motor vehicle to the original cost.

Question 1(b) – 4 Marks

This question required candidates to compute the amount of industrial building allowance.

Some candidates wrongly included the cost of Property A in the calculation of industrial building allowance. Also, the annual allowance should be 4% on the qualifying expenditure instead of the reduced value.

Question 1(c) – 12 Marks

This question required candidates to compute the profits tax liability of a corporation.

The overall performance was satisfactory. Candidates showed they possessed the basic knowledge in preparing the profits tax computation. However, they should note that:

- (a) Proceeds on sale of prescribed fixed assets should be added to the profits whereas the cost of the prescribed fixed assets should be fully deductible;
- (b) No deduction of refurbishment expenditure on Property A should be made as Property A was a residential property;
- (c) Further deduction should be allowed on research and development expenditure; and



(d) Approved charitable donations should be restricted to 35% of the adjusted profits.

Question 1(d)(i) – 3 Marks

This question required candidates to explain the profits tax treatment in respect of the interest received on a loan to a supplier.

The overall performance was less than satisfactory. Candidates did not seem to have a solid understanding about the chargeability of interest income as provided under s.15(1)(f) of the Inland Revenue Ordinance ("IRO").

Question 1(d)(ii) – 3 Marks

This question required candidates to explain the profits tax treatment of a loan to ex-employee written off.

The overall performance was below expectation. Candidates could not explain the reasons why the amount written off was not deductible. They failed to specify the conditions for the deduction of bad debt as provided under the IRO.

Question 2(a) – 4 Marks

This question required candidates to analyse, with reference to Departmental Interpretation and Practice Notes ("DIPN") 10, whether a person's employment was located in Hong Kong.

The overall performance was average. Candidates first needed to consider the factors to determine the locality of employment as mentioned in DIPN 10 and then apply the Factors to the case and draw conclusions whether the employment was located in Hong Kong.

Question 2(b)(i) – 4 Marks

This question required candidates to calculate the share option gain chargeable to salaries tax.

Overall, candidates did well in this part. However, some candidates did not know that as Option A was granted under a non-Hong Kong employment, only the part of the gain attributable to services rendered in Hong Kong was chargeable to salaries tax.

Question 2(b)(ii) – 6 Marks

This question required candidates to calculate Paul's salaries tax liability.

The overall performance was satisfactory. Candidates generally possessed basic knowledge of salaries tax computation. However, many candidates included the rent paid by the employer as taxable income instead of calculating the rental value in the assessable income. Also, many wrongly included the car benefit in the assessable income.



Question 2(c)(i) – 2 Marks

This question required candidates to explain the tax treatment of bonus from the employer.

The overall performance was less than satisfactory. Most candidates could not explain the accrued income concept as provided under s.11D(b)(ii) of the IRO.

Question 2(c)(ii) – 2 Marks

This question required candidates to explain the tax treatment of provision of car for Paul's use.

The overall performance was below expectation. Once the candidates saw the word 'business' in the question, most seem to think that the private portion should be taxable, resulting in candidates providing an incorrect answer. Most candidates failed to explain the reasons why the car benefit was not taxable.

Question 3(a) – 3 Marks

This question required candidates to explain the circumstances under which a person was chargeable to Hong Kong profits tax.

The question required candidates to analyse the chargeability of profits tax under s.14. Many candidates wrongly mentioned the services rendered in Hong Kong as a factor.

Question 3(b) – 5 Mark

This question required candidates to describe the requirements of a valid appeal against an assessment to additional tax under s.82A of the IRO.

The overall candidates' performance was unsatisfactory. The appeal should be addressed to the Board of Review instead of the Commissioner of Inland Revenue. Candidates also wrongly mentioned the requirements of an objection against an assessment.

Question 3(c) – 1 Marks

This question required candidates to identify the deadline to lodge an appeal against the assessment to additional tax under s.82A of the IRO.

Very few candidates could specify the date of the deadline.



Question 4(a) – 6 Marks

This question required candidates to analyse whether different types of stamp duty were payable on the agreement of sale and purchase of the office property between two corporations.

The overall candidates' performance was less than satisfactory. Most candidates failed to analyse whether East Limited and North Limited were associated corporations for the purpose of s.45 of the Stamp Duty Ordinance ("SDO"). Many of them had wrongly used the scale 1 rate to calculate the ad valorem duty instead of scale 2 rate. Candidates should note that special stamp duty and buyer's stamp duty were imposed on the sale and purchase of residential property under certain circumstances only.

Question 4(b) – 3 Marks

This question required candidates to analyse whether ad valorem stamp duty was payable on the lease agreement between two associated corporations.

Candidates were required to analyse why the lease agreement was subject to stamp duty. However, they just calculated the amount of stamp duty without any analysis. Although most of them correctly used the 4.25% rate to calculate the ad valorem stamp duty on the premium, they failed to calculate the annual average rent correctly.

Question 5(a) – 2 Marks

This question required candidates to state the time limit for the election for personal assessment.

The overall performance was poor. Candidates were weak in stating the time limit for the election for personal assessment.

Question 5(b) – 3 Marks

This question required candidates to compute the amount of property tax payable in respect of Betty's share of the subject property.

The overall candidates' performance was satisfactory. Most candidates possessed the knowledge to compute the net assessable value of property tax. However, most candidates did not know that property tax assessment should be computed on the whole property first, which would then be apportioned to arrive at Betty's share of the net assessable value.



Question 5(c) – 4 Marks

This question required candidates to compute Bruce's net chargeable income under personal assessment.

The overall candidates' performance was below average. Many candidates wrongly included Betty's income in Bruce's personal assessment. Also, they did not exclude the amount of approved charitable donations allowed under profits tax before transferring the net assessable profits to personal assessment.

Question 6 – 9 Marks

This question required candidates to compute the profits tax liability of a partnership business, which involved preparation of the profits and losses allocation of the partnership. The overall performance was poor. Most candidates were not familiar with the treatment of profit reallocation and the loss brought forward in the allocation. In addition, many candidates did not know that the loss of Bernard would be lapsed upon his retirement from the partnership.

(III) Conclusion and Recommendation

The overall, candidates' performance was less than satisfactory. The syllabus of this paper covered IRO and SDO, yet it appeared that most candidates were not well prepared for the examination. The questions consisted of computational questions and essay-type questions. Fortunately, candidates obtained satisfactory marks from the computational parts even though the essay-type questions were not well answered. Candidates were in general not willing to answer essay-type questions or were unable to present the answers properly. Candidates' poor performance on multiple choice questions was also a factor in the overall unsatisfactory result. Candidates are advised to study the syllabus thoroughly when they prepare for the examination. Candidates are also advised to read the questions carefully to ensure they understand the question requirements correctly.